

is actually practised remains to be seen.

The Chairman of the Banking and Finance Committee of the Federation of Indian Micro & Small & Medium Enterprises (FISME), Neeraj Kedia, has written to Sitharaman on ways to address the inverted duty structure. He has suggested a mechanism to make refunds time-bound and automatic (he has drawn a parallel with personal income tax refunds, which are now processed within days) and a new grievance redressal mechanism for small businesses.

Further, Kedia has suggested that input items at 18% used in manufacturing of items in the 5% rate bracket be moved to a new concessional rate of 8%. He has given the example of a mechanism currently available to exporters, wherein they are “permitted to source goods at 0.1% GST against specified formalities.”

The inverted duty structure may be riling up MSMEs, but some other provisions under the new regime have brought them cheer. One relates to easing the process of registration of small units under the GST regime. MSMEs usually look for a tie-up with the big e-commerce players, such as Flipkart and Amazon, among others, to expand their geographical reach. It was tough to do so earlier, since getting small units registered under GST could take anywhere up to 100 days.

Under the new regime, the registration can be done in just three days, as long as the GST value of goods sold is up to ₹2.5 lakh per month. While this excludes medium enterprises (since their turnover is higher), those classified as micro and small stand



“Raw materials were at the 12% rate earlier but have been moved to the 18% slab. Finished product has been moved from 12% to 5%, creating a 13% differential, which has to be claimed as a refund, blocking working capital”

RAJ KUMAR JINDAL
PROPRIETOR, CARGO
INTERNATIONAL PACKAGINGS



“Currently, registration for GST is optional for firms with an annual turnover of less than ₹40 lakh for goods and ₹20 lakh for services. We recommend increasing the exemption limit to ₹1.5 crore for goods and services”

AJAY SRIVASTAVA
FOUNDER, GLOBAL TRADE
RESEARCH INITIATIVE

to benefit. The Co-Chairman of CIP's National MSME Council, M Ponnuswami, welcomes this provision, saying it will encourage greater participation of MSMEs in the formal economy.

Many household consumption items like *paneer* (cottage cheese), pizza bread, *khakhra*, ultra-heat-treated milk, have been totally exempted from GST. This will help units selling only exempted items—many of them dealing in agricultural products—since they no longer need to be registered under the GST mechanism.

GST 2.0 is a mixed bag for MSMEs, with an inverted duty structure making working capital scarce, but some other provisions easing compliance for these small units. To make the MSME sector growth more robust, Ajay Srivastava, founder of the Global Trade Research Initiative (GRTI), suggests that 99% of small businesses should be freed from all compliance burden whatsoever by raising the exemption limit to ₹1.5 crore.

“The GST data shows that of the total 14 million registrations, firms with less than ₹1.5 crore annual turnover account for 84% of total registrations but contribute less than 7% of the tax collected,” Srivastava says. Currently, registration for GST is optional for firms with an annual turnover of less than ₹40 lakh for goods and ₹20 lakh for services. According to him, if the exemption limit is increased to ₹1.5 crore for goods and services, it would amount to ₹12-13 lakh monthly turnover, which at 10% of profit margin would translate to just ₹1.2 lakh. “Only a fraction of this money will remain with the business owner after payment of working capital and fixed expenses,” he says. **BT**